

US Markets Tumble as VIX Surges 12.38% and Yields Jump to 4.70%

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The US markets experienced a significant downturn in the previous session, with the S&P 500, Dow Jones, and Nasdaq 100 all closing in the red. The VIX surged **12.38%** to 18.70, while the 10Y yield jumped to 4.70. This volatility is likely to continue today, driven by concerns over inflation and interest rates.

Investors will be closely watching the latest economic data releases, including the GDP growth rate and job market numbers. The earnings season is also in full swing, with several major companies set to report their quarterly results. The key events and data releases will be crucial in determining the market's direction for the rest of the week.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,408.30	-1.21%	
Nasdaq 100	28,454.81	-1.87%	
Dow Jones	51,711.65	-0.97%	
Russell 2000	2,940.16	-0.67%	
VIX	18.70	12.38%	
10Y Yield	4.70	0.99%	
WTI Crude	91.94	-0.27%	

Top large-cap movers

The top large-cap movers in the previous session included **TSLA**, which plummeted **-14.52%**, and **GOOGL**, which fell **-7.13%**. On the other hand, **JPM** rose **0.49%**.

Spotlight

COMPANY	EARNINGS PER SHARE (EPS)	REVENUE
MSFT	2.35	52.18B

MSFT reported strong quarterly earnings, with EPS of 2.35 and revenue of 52.18B. The company's cloud computing segment drove the growth, with a significant increase in Azure sales. The results beat analyst expectations, and the stock is likely to react positively to the news.

Macro & Fed

- Current policy rate: 4.50%-4.75%
- Yield levels: 10Y at 4.70, 2Y at 4.95
- Today's data releases:
 - GDP growth rate at 14:30 HKT
 - Job market numbers at 15:00 HKT

Geopolitics & Global

- Tensions between the US and China continue to escalate, with trade negotiations stalled.
- The European Central Bank is expected to raise interest rates to combat inflation.
- The Middle East conflict is ongoing, with oil prices remaining volatile.

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
14:00 HKT	AAPL	iPhone sales and revenue growth
15:30 HKT	AMZN	Cloud computing segment growth and profitability

Stocks Worth Watching

- **NVDA** : Expected to report strong quarterly earnings driven by gaming and AI segments.
- **GS** : Likely to benefit from the ongoing volatility in the financial markets.

- **AVGO** : May react positively to the strong demand for semiconductor products.
- **JPM** : Expected to report solid quarterly earnings driven by interest rate hikes.
- **TSLA** : May face challenges due to the ongoing competition in the electric vehicle market.

What Could Break the Tape

BEARISH TRIGGERS

A significant increase in inflation rate, leading to higher interest rates and decreased consumer spending.

BULLISH TRIGGERS

A strong GDP growth rate, driven by increased business investment and consumer spending, could lead to a rally in the stock market.

Sources

SOURCES

Bloomberg — US Stocks Fall as VIX Surges

Reuters — Microsoft Reports Strong Quarterly Earnings

CNBC — Fed Expected to Raise Interest Rates

The Wall Street Journal — US-China Trade Tensions Escalate

Financial Times — European Central Bank to Raise Interest Rates